

MANAGING FROM THE BOUNDARY: THE EFFECTIVE LEADERSHIP OF SELF-MANAGING WORK TEAMS

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ABSTRACT

We present a qualitative investigation of how external leaders effectively manage self-managing teams. We used interviews and surveys with external leaders and their team members and managers. Our study produced a process model that shows how effective external leaders cross boundaries to build relationships, scout information, persuade constituents, and promote empowerment.

INTRODUCTION

Research suggests that for *external* leaders of self-managing work teams (SMWTs) -- leaders who manage teams that manage themselves -- roles and status are often unclear (Klein, 1984; Manz & Sims, 1984, 1987; Walton, 1982). Experts agree that the external leader role is pivotal for SMWT success (Cummings, 1978; Manz & Sims, 1987; Walton & Hackman, 1986), yet questions remain about how to effectively lead SMWTs (Cohen, Chang, & Ledford, 1997). The present study was designed to examine how the role is carried out by successful external leaders.

The most prominent research on the external team leader role, carried out by Manz and Sims (1980, 1984, 1987), found that the role requires a bottom-up style of leadership. They found that, because of the shift in control from the leader to the team, the external leader role involves a unique set of encouraging behaviors (Manz & Sims, 1987). Like all research, the Manz and Sims study uncovered as many questions as it answered. Most of those questions stem from the fact that Manz and Sims' final model was based on team members' perspectives. The purpose of our study is to pick up where Manz and Sims left off and to answer questions about effective external leadership processes. We examine the external team leader's role primarily from the leader's perspective, with the objective of providing a comprehensive model of leadership behaviors and processes used by the most effective external leaders of SMWTs. We agree with those who contend that from the leader's perspective, the external leader role consists of managing the boundary between the broader organization and the multiple teams for which the leader is responsible (Cohen et al., 1997; Cordery & Wall, 1986; Cummings, 1978). Thus, we also attempt to uncover how effective leaders manage their boundary spanning position.

We conducted an inductive grounded theory building study that placed a heavy emphasis on leaders' perspectives. We interviewed those who were most successful in the external leader role, attempting to learn what behaviors and strategies set them apart from typical or average

leaders. Hence, we present an exploratory study that employs qualitative and inductive case study methods (Boyatzis, 1998; Eisenhardt, 1989; Glaser & Strauss, 1967).

METHODS

The research site was a *Fortune* 500 durable consumer goods manufacturing plant with 3,500 employees. The plant had made the transition to self-managing work teams almost five years prior to data collection. Sixty-six external leaders led 300 teams.

Our research questions were: (1) What distinctive behaviors are used by the most effective external leaders as they carry out their role? (2) How do the most effective external leaders gain a sense of control over the team outcomes for which they are held responsible? (3) When and why do the most effective external leaders engage in specific behaviors, and how do these choices influence team effectiveness? We selected participants using a comparative case study approach (Boyatzis, 1998; Eisenhardt, 1989; Komaki, 1986), which involves studying two criterion samples (in this study, superior-performing and average-performing leaders) and then comparing their approaches to the role. We chose to study and compare samples of superior- and average-performing external leaders because we wanted to uncover approaches most clearly linked to “outstanding” external leader performance. Since most leaders are average performers, we decided not to spend our time learning from the minority of poor-performing leaders who impede rather than facilitate SMWT effectiveness (Lawler, 1986; Walton & Schlesinger, 1979).

In case study research, selecting the best cases is critical (Eisenhardt, 1989). We used three criteria for selecting participants: team member nominations, manager nominations, and objective performance data for the leaders’ teams. To obtain team member nominations, 66 team members (one team member from teams led by each of the 66 external leaders) were randomly selected and invited to participate in focus groups discussing the optimal adviser (i.e., external leader) role. They were then given a confidential ballot listing all 66 advisers and asked to nominate those they knew well enough to assess as “outstanding.” Similar ballots were mailed to the 21 plant managers and directors. Performance data were collected directly from performance appraisal forms completed by managers for the advisers. So that we would remain blind to the superior or average status of leaders, a colleague selected a “superior” sample consisting of those leaders who fell into the top 10% to 20% of all three criteria, and an “average” sample of leaders in the average range of all criteria. The final sample consisted of ten superior (top 15% of the sample) and nine average leaders. The superior and average samples were demographically comparable in age, and tenure with the company and as team leader.

To begin with, we conducted three-hour audiotaped critical incident interviews (CII) with the 19 leaders. The CII (Flanagan, 1954), shown to be a reliable and valid method for obtaining accurate descriptions of behavior (Motowidlo et al., 1992; Ronan & Latham, 1974), asks respondents to describe job events in which they felt effective or ineffective. Because the interviewer probes for thought processes, the CIIT format uncovers information that may not be directly observable to someone watching the work being done.

Understanding when and why leaders engage in specific behaviors required understanding the leader’s context. We interviewed the team members; interviewed and surveyed the managers;

collected observational data of the production process; and examined archival records. In all, we collected data from multiple sources through interviews and focus groups reaching a total of 119 organizational members.

Phase I Data Analysis: Defining Effective External Leader Behavior

First, we content-analyzed the leader interviews to develop an exhaustive list of the actions or behaviors that were used consistently by superior leaders and not as consistently by the average leaders. Second, we integrated data from our multiple sources to cluster the behaviors and develop a theoretical model of effective leadership processes that reveals when and why specific behaviors were utilized and the route through which these behaviors influenced team self-management and team effectiveness.

The leader interviews were content analyzed using an inductive process (Boyatzis, 1998; Eisenhardt, 1989; Strauss & Corbin, 1990). To begin the process, a random sample of transcripts (three superior and three average leaders) was subjected to a microanalysis involving careful repeated reading (Eisenhardt, 1989). We took notes that were compiled into a compact outline that included a list of the behaviors and related quotes. Next, we used the outlines for cross-case comparisons (Strauss & Corbin, 1990). We then went back and forth iteratively coding the remaining transcripts to search for new behaviors and those on our lists. The final list consisted of 11 behaviors that appeared to be used frequently by the superior performers and less frequently by the average performers. Two coders who were blind to condition joined our team to code the leader transcripts, obtain frequency counts of how often each behavior was displayed by each leader, and determine the reliability of the code for each behavior. Inter-rater reliabilities (mean = .92; median = .94; range = .78 to 1.0) were calculated for each code as the percent agreement across all transcripts.

Phase II Data Analysis: Defining the Process of Effective External Leadership

Next, we conducted an inductive grounded-theory investigation to answer questions about *when* and *why* the behaviors identified in Phase I are used by leaders and how they influence team effectiveness. We read the external leader transcripts with this second set of research questions in mind, paying attention to the coded examples of the leaders engaging in the 11 behaviors identified. We read through the field notes; transcripts of interviews with managers, team members, and team leaders in the study; notes taken during the team member focus groups; and questionnaires completed by managers. We kept a computer outline of the examples that we then organized by the 11 behaviors. These examples included (1) the specific quote that described use of the behavior (by leaders or team members) or the recommended use of the behavior (by team members and managers) and (2) our interpretation of the context surrounding the statement. To interpret contexts, we asked ourselves questions recommended by Strauss and Corbin (1990: 69, 77) such as: What is going on here? Why is an interaction or exchange occurring? Who begins it? and When, how, and with what consequences is the leader engaging in this behavior? After iterative discussions of the context surrounding the examples, we placed the 11 behaviors into four functional clusters: relating, scouting, persuading, and empowering. Next, we focused on uncovering how the clusters and the behaviors within them were connected, paying particular attention to the process of action and interaction and how it changed over time. We asked

ourselves the process questions recommended by Strauss and Corbin (1990: 77, 168), e.g., What conditions have contributed to the context in which the behavior emerges? What conditions or activities connect one sequence of events to another? Further analysis and discussions resulted in a dynamic process model of effective external leadership behavior (Figure 1).

Insert Figure 1 about here

RESULTS AND DISCUSSION

Effective External Leadership: A Boundary-Spanning Model

Our analyses revealed that superior leaders took greater advantage than average performers of the leader's boundary-spanning position to engage in actions inside the team and within the broader organization. Our model shows how the behaviors within the clusters and their internally and externally focused dimensions support one another over time and how a leader's back and forth movement between the team and the organization influences SMWT effectiveness. We propose that the dynamic process of effective external leadership works as follows: the external leader builds relationships and seeks to understand the perspectives of those inside the team and those in the broader organization. This understanding allows the leader to access information in both locations and make sense of the needs of the team and the organization. The leader is then able to focus on the most relevant issues and encourage or persuade the team to behave in ways that facilitate the organization's effectiveness. He or she can also better persuade individuals in the organization to think and behave in ways that facilitate team effectiveness. This wider influence enables the leader to more fully empower the team, which in turn leads to team ownership of the outcome and team effectiveness.

The Process of Effective External Leadership

Relating

The first functional cluster of behaviors involves understanding and building relationships with important individuals outside of the team and with team members. In our study, the boundary-spanning position of external leaders meant that they were neither firmly established as a member of management nor were they firmly established as part of the team. Yet their success required insider status and information from both management and the teams. Thus, our model proposes that the main purpose of these behaviors was to access people and information in order to obtain resources and wield influence within teams and within the broader organization.

Scouting

The second cluster involves scouting for information inside the team and the broader organization in order to identify and make sense of team and organizational needs and to help solve team problems. Our model proposes that obtaining information through boundary spanning is useful for persuading the organization to make decisions that support the team and for persuading the team to make decisions that support organizational goals.

Persuading

The third cluster involves the use of persuasion. Persuasion and influence are essential features of leadership (Pfeffer, 1998; Yukl, 1989). We found that external leaders needed to influence individuals on both sides of a team's boundary. Although the teams were self-managing, they were both powerless in the larger organization and disconnected from it. Without a leader able to serve as their advocate in that system, teams found it difficult to get support for their decisions or to receive timely assistance in solving their problems. On the other hand, effective external leaders used persuasion inside their teams where they served as an advocate for the organization.

Empowering

The final cluster – empowerment - included only a team-level dimension. Our study suggests teams are merely participating until the external leader distributes power by delegating and supporting decision authority. Our research produced three behaviors that were consistently used by superior performers: delegating authority, flexibility regarding team decisions, and coaching.

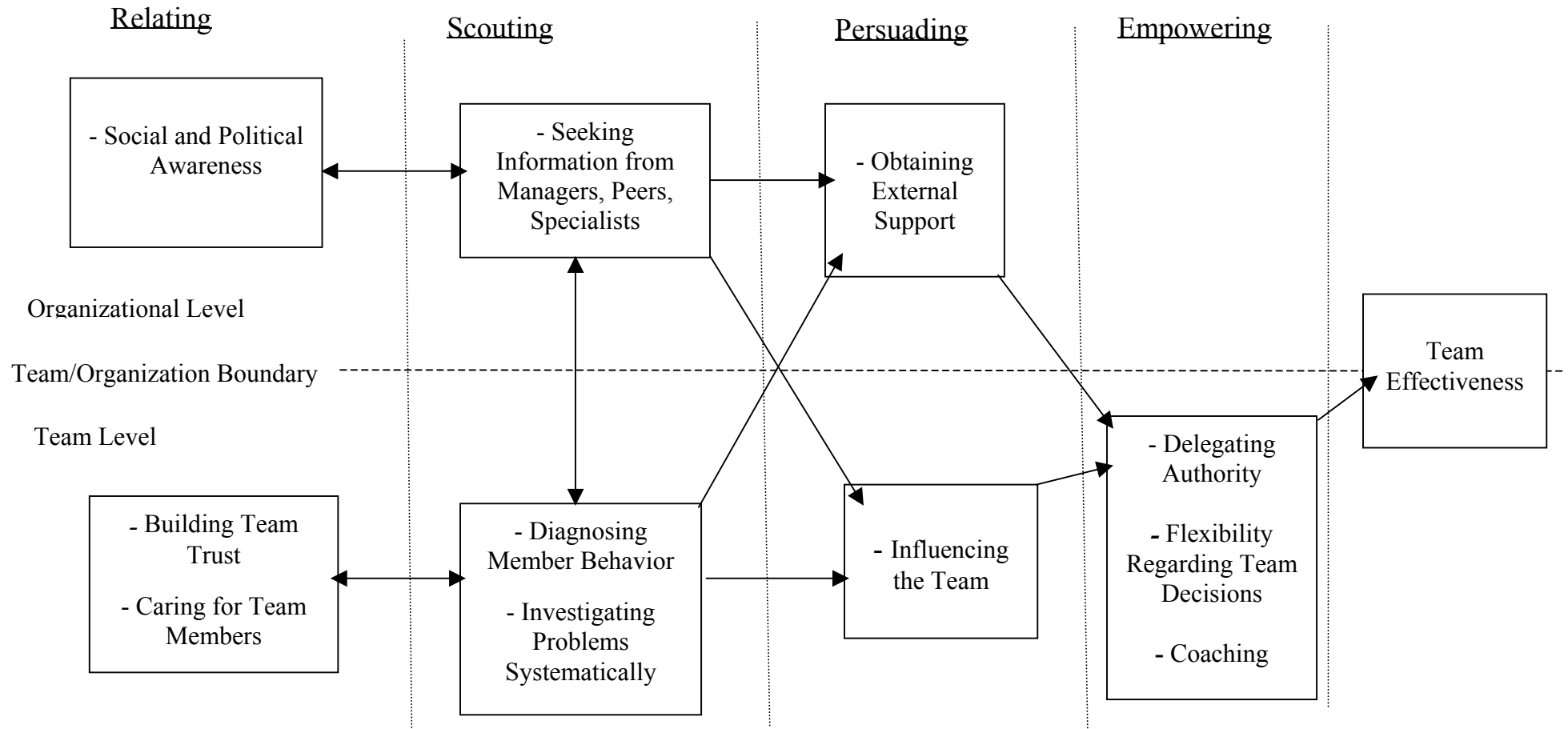
Toward a New Understanding of External Team Leadership

In contrast to the prevailing view that the external leader role should be a “hands-off” approach that focuses on “encouraging” team members to behave in effective ways (Courtright et al., 1989; Manz & Sims, 1987), our study suggests that effective external leadership involves a more comprehensive set of behaviors. Our results pick up where Manz and Sims (1987) left off by revealing the specific leader activities that ensure “encouraging” behavior will have a positive influence on team effectiveness, and by revealing how leaders who have responsibility for the outcomes of self-managed teams gain a sense of control. Our model points to specific strategies that effective leaders use to determine team needs, ensure that certain organizational supports are available, influence team behavior, and support team effectiveness. One reason for the differences between our findings and those of previous researchers results because we examined the leader role from the perspective of team leaders as well as from team members. Second, we used the critical incident interview methodology to uncover rich descriptive information and to examine how events and leader thought processes unfold over time. Third, we built our model by studying how the behaviors and strategies of the very best self-managing leaders differed from average leaders. Our study produced a boundary-spanning model proposing that effective external leadership involves an iterative process that involves inquiries and consultations inside and outside of team boundaries to build understanding and relationships, scout information, persuade teams and those in the broader organization to support one another, and serve as the primary promoter of team empowerment. Ours is the first empirical study, of which we are aware, to support numerous theoretical propositions (Cohen et al., 1997; Cordery & Wall, 1986; Cummings, 1978; Hackman, 1986) asserting that boundary management is an important part of the external leader role. Our results suggest that boundary-spanning behavior providing teams with information and support from the broader organization is fundamental to the role.

REFERENCES AVAILABLE FROM THE AUTHORS

FIGURE 1

An Inductive Boundary-Spanning Model of Effective External Team Leader Behavior



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